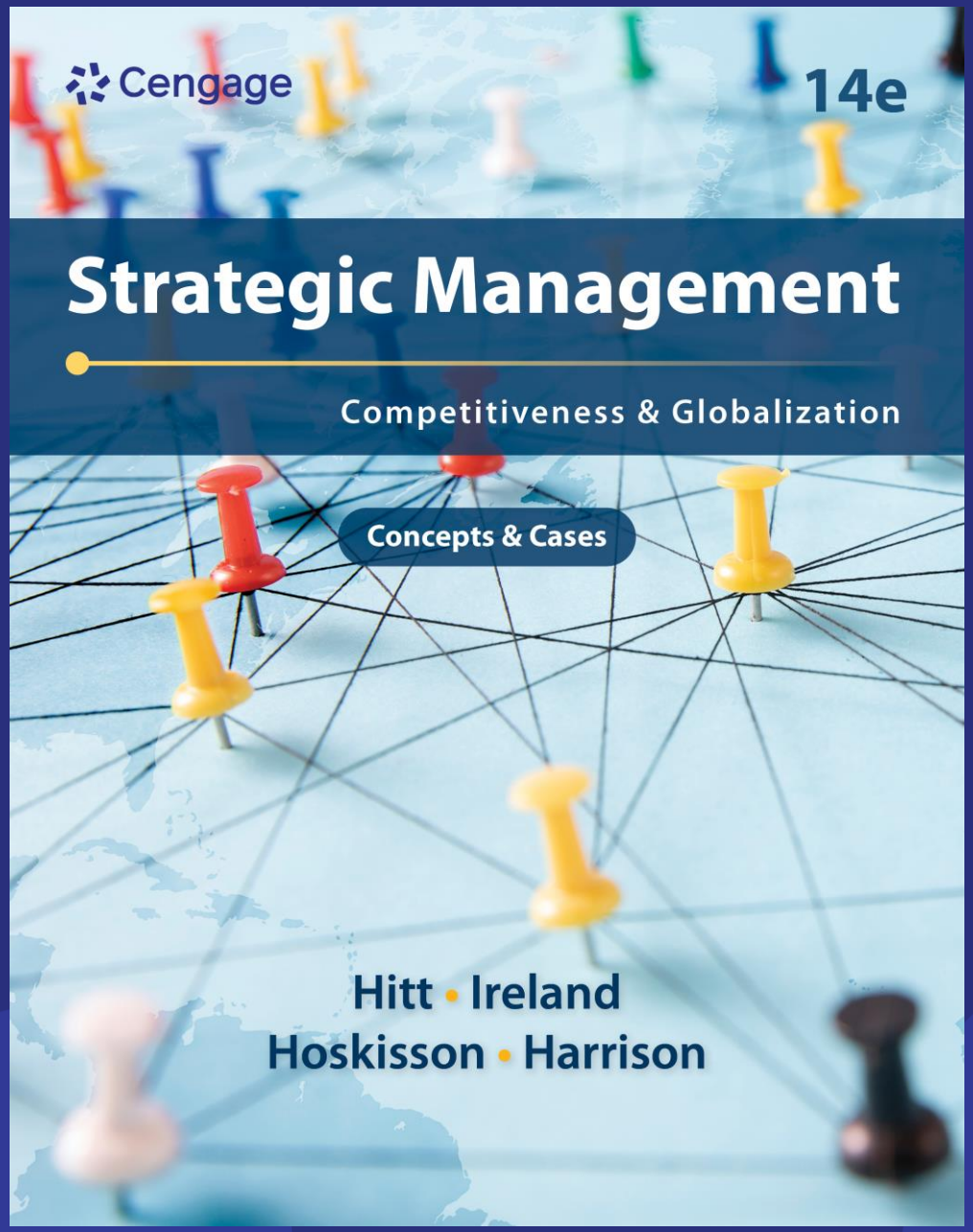
MGT4001
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Chapter 1

Strategic Management and Strategic Competitiveness

Learning Objectives

By the end of this chapter, you should be able to:

1.1 Define strategic competitiveness, strategy, competitive advantage, above-average returns, and the strategic management process.

1.2 Describe the competitive landscape and explain how globalization, technological changes, and expectations of socially responsible behavior shape it.

1.3 Use the industrial organization (I/O) model to explain how firms can earn above-average returns.

1.4 Use the resource-based model to explain how firms can earn above-average returns.

1.5 Use the stakeholder model to explain how firms can earn above-average returns.

1.6 Describe vision, mission, and values, and explain why they are important.

1.7 Describe strategic leaders and what they do.

1.8 Explain the strategic management process.

1-1

An Overview of Strategy and Strategic Competitiveness

An Overview of Strategy and Strategic Competitiveness (1 of 5)

- Firms achieve **strategic competitiveness** by formulating and implementing a value-creating strategy.
  - A **strategy** is an integrated and coordinated set of commitments and actions designed to exploit core competencies and gain a competitive advantage.
    - When choosing a strategy, firms make choices among competing alternatives as the pathway for deciding how they will pursue strategic competitiveness.
    - The chosen strategy indicates what the firm *will* and *will not* do.

An Overview of Strategy and Strategic Competitiveness (2 of 5)

- A firm has a **competitive advantage** when, by implementing a chosen strategy, it creates superior value for customers and when competitors are not able to imitate the value the firm's products create or find it too expensive to attempt imitation.
  - Almost no competitive advantage is sustainable permanently.
  - How long a competitive advantage will last depends on how quickly competitors can acquire the skills needed to duplicate the benefits of a firm's value-creating strategy.

Examples of Competitive Advantages

- **Apple Inc.: Brand Loyalty and Innovation**
  - Apple has its loyal customer base is willing to pay premium prices for its products, which include the iPhone, iPad, and Mac computers. Continuous innovation, particularly in integrating hardware and software, differentiates Apple from competitors.
- **2. Amazon: E-commerce Logistics and Customer Experience**
  - Amazon excels in its logistics and supply chain operations, allowing for rapid delivery and a vast selection of products. It offers a unique customer experience through features like a customer-centric return policy. Amazon Prime enhances customer loyalty through added value services.

Examples of Competitive Advantages

- **3. Coca-Cola: Brand Recognition and Distribution Network**
  - Its extensive distribution network ensures product availability in almost every corner of the globe, giving it a competitive edge over other beverage companies.
- **4. Samsung: Diverse Product Portfolio and Technological Innovation**
  - Samsung benefits from a diverse product lineup, ranging from electronics to appliances. Its significant investment in research and development fosters technological innovation, particularly in smartphones and semiconductors, allowing it to stay ahead of competitors in product features and performance.

An Overview of Strategy and Strategic Competitiveness (3 of 5)

- **Above-average returns** are returns in excess of what an investor expects to earn from other investments with a similar amount of risk.
  - **Risk** is an investor's uncertainty about the economic gains or losses that will result from a particular investment.
    - The most successful companies learn how to manage risk effectively.
    - Doing so reduces investors' uncertainty about the outcomes of their investment.

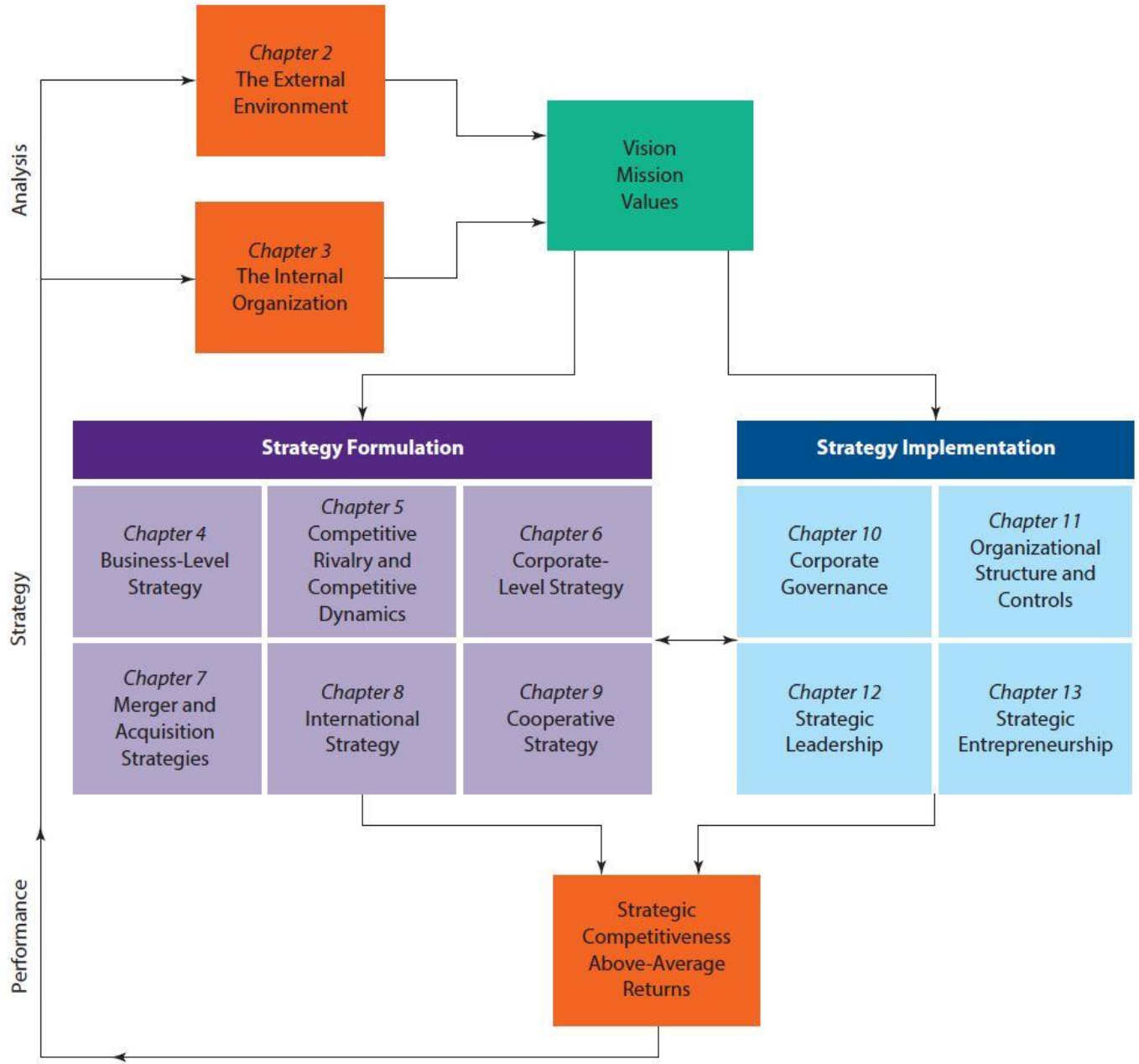
An Overview of Strategy and Strategic Competitiveness (4 of 5)

- Firms without a competitive advantage or those that do not compete in an attractive industry earn, at best, average returns.
  - **Average returns** are returns equal to those an investor expects to earn from other investments possessing a similar amount of risk.
  - Over time, an inability to earn at least average returns results first in decline and, eventually, failure.

An Overview of Strategy and Strategic Competitiveness (5 of 5)

- The **strategic management process** is the full set of commitments, decisions, and actions firms take to achieve strategic competitiveness and earn above-average returns.
  - The process involves analysis, strategy, and performance (**the A-S-P model**).
  - A firm *analyzes* the external environment and its internal organization, then formulates and implements *strategies* to achieve a desired level of *performance*.

Figure 1.1
The Strategic Management Process



Knowledge Check 1-1

An organization can be confident that its strategy yields a competitive advantage after:

a. competitors decide how they will pursue strategic competitiveness.

b. competitors duplicate the firm's value-creating strategy.

c. competitors' efforts to duplicate it have ceased or failed.

d. competitors begin to imitate their product and strategies.

1-2

The Competitive Landscape

1-2

The Competitive Landscape

c.f) Reading Materials @Moodle

1-3

The I/O Model of Above-Average Returns

The I/O Model of Above-Average Returns

- The I/O model explains how firms can earn above-average returns.

- The I/O model challenges firms to find the most attractive industry in which to compete, based on the assumptions—that firms possess the same types of valuable resources and that these resources are mobile across companies.

The I/O Model of Above-Average Returns (1 of 3)

- The logic of the I/O model is that the profitability potential of an industry or a segment of it as well as the actions firms should take to operate profitably are determined by a set of industry characteristics, including:
  - Economies of scale
  - Barriers to market entry
  - Diversification
  - Product differentiation
  - The degree of concentration of firms in the industry
  - Market frictions

The I/O Model of Above-Average Returns (2 of 3)

- Four underlying assumptions of the I/O model:
  - The external environment imposes pressures and constraints that determine the strategies that would result in above-average returns.
  - Most firms competing within an industry or within a segment of that industry are assumed to control similar strategically relevant resources and to pursue similar strategies in light of those resources.
  - Resources are highly mobile, meaning that any resource differences that might develop between firms will be short-lived.
  - Organizational decision makers are rational individuals who are committed to acting in the firm's best interests, as shown by their profit-maximizing behaviors.
- The I/O model challenges firms to find the most attractive industry in which to compete.

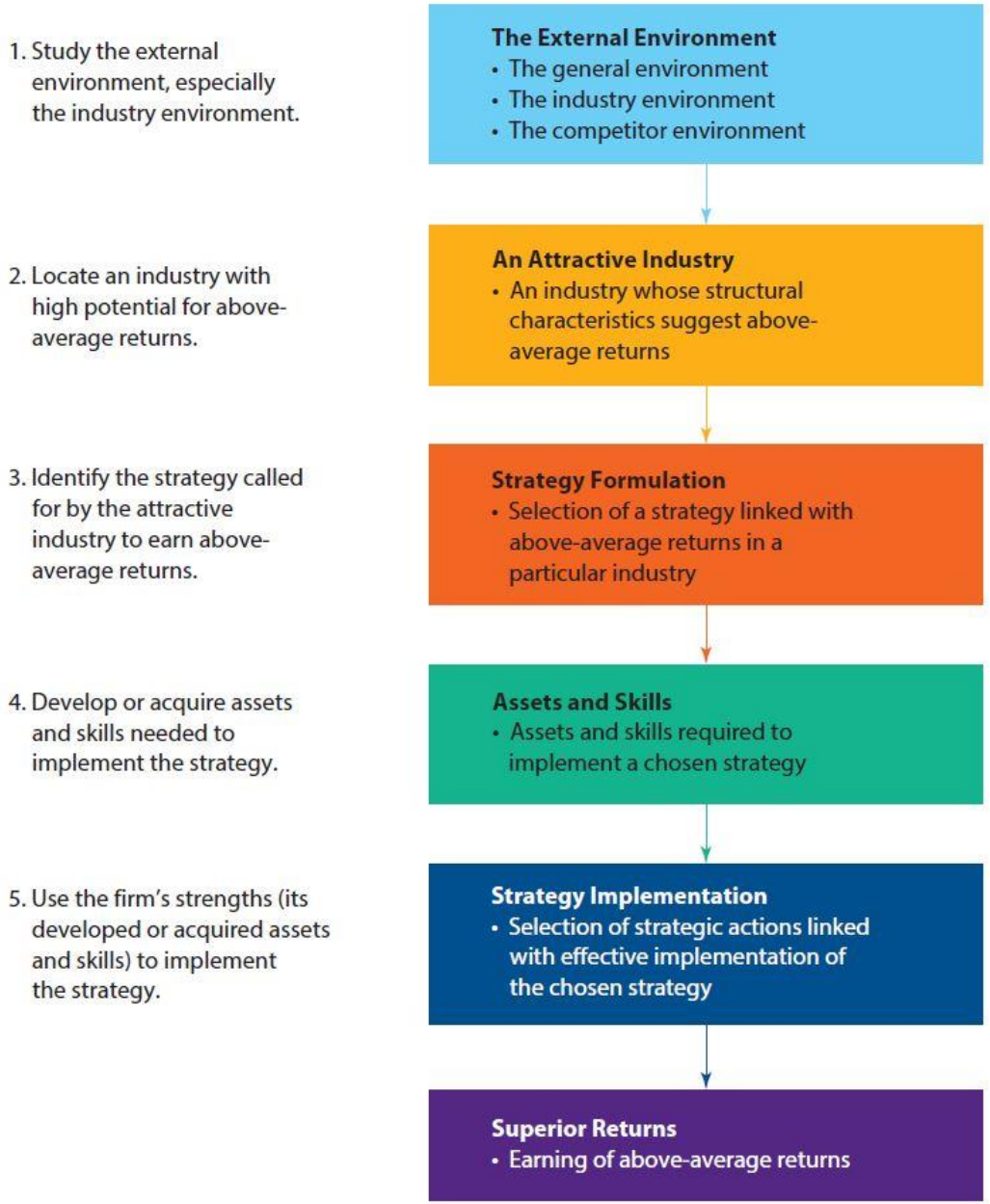
The I/O Model of Above-Average Returns (3 of 3)

- The five forces model of competition is an analytical tool firms use to find the industry that is the most attractive for them.
- Firms use the five forces model to identify the attractiveness of an industry (as measured by its profitability potential) as well as the most advantageous position for the firm to take in that industry, given the industry's characteristics.
- The model suggests that firms can earn above-average returns by producing either standardized products at costs below those of competitors (a cost leadership strategy) or by producing differentiated products for which customers are willing to pay a price premium (a differentiation strategy).

The I/O Model of Above-Average Returns (3 of 3)

- **The five forces model** of competition is an analytical tool firms use to find the industry that is most attractive.
- The five forces model suggests that:
  - An industry's profitability is a function of interactions among:
    - Suppliers (Nvidia vs MS-ChatGPT)
    - Buyers (Farms vs Walmart)
    - Competitive rivalry among firms currently in the industry (Samsung vs Apple)
    - Product substitutes (Airline vs Zoom)
    - Potential entrants to the industry (Airline)
  - Firms can earn above-average returns by producing either:
    - **Standardized products at costs below** those of competitors (a cost leadership strategy)
    - **Differentiated products for which customers are willing to pay a price premium** (a differentiation strategy)
- Managers' strategic actions affect the firm's performance as do the characteristics of the environment in which the firm.

Figure 1.2
The I/O Model of Above-Average Returns



Knowledge Check 1-3

The industrial organization (I/O) model assumes that:

a. firms acquire different resources and develop unique capabilities based on how they combine and use the resources.

b. the external environment imposes pressures and constraints that determine the strategies that would result in above-average returns.

c. any resource differences that develop between firms will be long term.

d. firms can earn above-average returns by producing standardized products at costs below those of competitors.

1-4

The Resource-Based Model of Above-Average Returns

The Resource-Based Model of Above-Average Returns (1 of 3)

- The resource-based model of above-average returns assumes that each organization is a collection of unique resources and capabilities.
- The *uniqueness* of resources and capabilities is **the basis of a firm's strategy** and **its ability to earn above-average returns.**
- **Resources** are inputs into a firm's production process, such as capital equipment, the skills of individual employees, patents, finances, and talented managers.

The Resource-Based Model of Above-Average Returns (2 of 3)

- Firms typically classify resources into **three categories**:
  - Physical capital
  - Human capital
  - Organizational capital
- Resources have a greater likelihood of being a competitive advantage when integrated to form a capability.
  - A **capability** is the capacity for a set of resources to perform a task or an activity in an integrative manner.
  - **Core competencies** are capabilities that serve as a source of competitive advantage for a firm over its rivals.

Figure 1.3
The Resource-Based Model of Above-Average Returns

1. Identify the firm's resources. Study its strengths and weaknesses compared with those of competitors.

2. Determine the firm's capabilities. What do the capabilities allow the firm to do better than its competitors?

3. Determine the potential of the firm's resources and capabilities in terms of a competitive advantage.

4. Locate an attractive industry.

5. Select a strategy that best allows the firm to utilize its resources and capabilities relative to opportunities in the external environment.



How to value resources?

- A tool used to analyze a company's resources and capabilities to understand whether they can provide a sustainable competitive advantage. : (a.k.a V.R.I.Organization)

The Resource-Based Model of Above-Average Returns (3 of 3)

- Resources and capabilities have the potential to be the foundation for a competitive advantage when they are: (a.k.a VRIO)
  - ***V**aluable* (allow a firm to take advantage of opportunities or neutralize threats in its external environment)
  - ***R**are* (possessed by few, if any, current and potential competitors)
  - ***Costly to I**mitate* (are difficult for other firms to obtain)
  - ***N**on-substitutable* (have no structural equivalents)
- It is difficult to achieve and sustain a competitive advantage based on resources alone.

Knowledge Check 1-4

Which of the following is an assumption of the resource-based model?

a. Resources and capabilities are not highly mobile across firms.

b. A firm's performance across time is due primarily to the industry's structural characteristics rather than to the firm's unique resources and capabilities.

c. Most firms competing within an industry or within a segment of that industry are assumed to control similar strategically relevant resources and to pursue similar strategies in light of those resources.

d. Organizational decision makers are assumed to be rational individuals who are committed to acting in the firm's best interests, as shown by their profit-maximizing behaviors.

1-5

The Stakeholder Model of Above-Average Returns

The Stakeholder Model of Above-Average Returns (1 of 4)

- **Stakeholders** are individuals, groups, and organizations that can **both influence and are affected by** the objectives, actions, and outcomes of **a firm.**
- Stakeholders are internal and external constituencies that have a strong interest in the activities and outcomes of an organization and upon whom the organization relies on to achieve its own objectives.
  - **Internal** stakeholders include all a firm's employees, including both non-managerial and managerial personnel.
  - **External** stakeholders are a diverse group and include the major suppliers of a firm's capital as well as product market stakeholders—the firm's customers, suppliers, host communities, and any unions representing the workforce.

The Stakeholder Model of Above-Average Returns (2 of 4)

- **Primary stakeholders** are directly involved in the value-creating processes of the firm and include:
  - **Suppliers**
  - **Employees**
  - **Customers**
  - **The communities in which the firm operates**
  - **Financiers such as the firm's shareholders and banks**

- **Secondary stakeholders** can both influence and are influenced by what the firm does, but they do not contribute directly to the value the firm creates.

  - Media, Government, NGOs etc.

- This sort of management is often called *managing for stakeholders* or *stakeholder-oriented management*.

Figure 1.4
The Stakeholder Model of Above-Average Returns

1. Study external environment to determine which stakeholders are most important to value creating processes.

2. Develop relationships with employees and external stakeholders based on fairness, respect, and trust.

3. Collect valuable information from stakeholders.

4. Identify strategies that incorporate information from stakeholders.

5. Develop and carry out plans using collaborations with stakeholders where possible.



The Stakeholder Model of Above-Average Returns (3 of 4)

- Managing for stakeholders implies that more attention and resources are allocated to satisfy the needs of stakeholders than might be necessary simply to retain their participation in the productive activities of the firm.
- It also means that firms incur **greater costs** as, for example, they:
  - Provide better wages and benefits to their employees
  - Give back to the communities in which they operate
  - Provide high-quality products or outstanding service to customers at prices that are perhaps a little lower than they might otherwise charge

The Stakeholder Model of Above-Average Returns (4 of 4)

- One of the fundamental drivers of **reciprocity is *fairness***, or what scholars call *organizational justice*, which can be divided into three primary types:
  - *Distributional justice* means that stakeholders feel as though they are receiving value through their relationship with their firm that is commensurate with what they contribute to the firm.
  - *Procedural justice* means that the firm listens to stakeholders and considers their positions when making important decisions that are likely to affect them.
  - *Interactional justice* means that all stakeholders are treated with honesty, respect, and integrity.

Managing for Stakeholders (1 of 2)

- Not all firms that manage for stakeholders will have above-average returns.
  - Stakeholder management is only one important component in the strategic management process.
  - Situations may occur in which a firm would perform better if they simply engage in what are called arms-length transactions with stakeholders.
    - The firm simply responds to market forces in buying and selling products and other resources.
    - Could be more efficient when innovation, loyalty, and higher levels of stakeholder motivation are not as important.
- This model suggests a firm should treat stakeholders better than competing firms but not with overzealousness that could lead to “giving away the store.”

Managing for Stakeholders (2 of 2)

- One of the keys to managing for stakeholders is determining how much is too much when it comes to allocations to stakeholders.
  - From an economic efficiency perspective, it is best to offer to each stakeholder a value proposition that is just noticeably better than what they would get if they engage in the same sort of transactions with a competing firm.
  - Allocations beyond this level could lead to feelings among some stakeholders that a firm is showing favoritism, thus reducing the sense that the firm is being fair.
  - Over time, greatly disparate allocations could mean that the firm has insufficient resources to invest in other important resource areas or stakeholders.
- Although organizations have dependency relationships with all their primary stakeholders, they are not equally dependent on all stakeholders at all times.

Polling Activity

Which of the models is best at helping firms devise competitive strategies and determining a firm's overall purpose?

a. The I/O model of above-average returns

b. The resource-based model of above-average returns

c. The stakeholder model of above-average returns

1-6

Vision, Mission, and Values

Vision, Mission, and Values

- After analyzing the external environment, the internal organization, and relationships with stakeholders, the firm has the information required to form its vision, mission, and values.
- Stakeholders learn a great deal about a firm by studying its vision, mission, and values.
- A key purpose of these statements is to inform stakeholders of **what the firm is, what it seeks to accomplish, and who it seeks to serve.**

Vision

- **Vision** is a picture of what the firm wants to be and, in broad terms, what it wants to achieve.
- A vision statement:
  - articulates the ideal description of an organization and gives shapes to its intended future.
  - tends to be relatively short and concise.
- An effective vision:
  - stretches and challenges people.
  - is developed by the CExdO and other top-level managers, employees, suppliers, and customers.
  - is consistent with the decisions and actions of those involved with developing it.

Mission

- A **mission** specifies the businesses in which the firm intends to compete and the customers it intends to serve.
- A mission:
  - is more concrete than a firm's vision.
  - should establish a firm's individuality.
  - should be inspiring and relevant to all stakeholders.
  - deals more directly with product markets and customers.
  - should be developed by the CEO, top-level managers, and other organizational members.
  - has a higher probability of being effective when employees have a strong sense of ethics.

Values

- The **values** of an organization define what should matter most to managers and employees when they make and implement strategic decisions.
- Values:
  - help guide what is rewarded and reinforced in the organization.
  - are a practical application of business ethics.
  - can help a firm define its purpose and answer the fundamental question of what the firm stands for.
  - should help determine the way stakeholders are treated and their priority in important decisions.
- Core values are sometimes incorporated into a firm's mission statement, but many firms put them in separate statements to reinforce to stakeholders what they stand for.



Microsoft's Mission, Vision and Values



MISSION

To accelerate the world's transition to sustainable energy.

VISION

To create the most compelling car company of the 21st century by driving the world's transition to electric vehicles.

Vision

- To make this world a mobile, sustainable place with access to all the citizens. (Volkswagen)

- Drawing strength from our rich history, we will be the best, most admired, and innovative financial services institution, partnering with our customers, employees, and shareholders in wealth and value creation. (China Bank)

- To be the communications leader in an increasingly connected world. (Vodaphone)

Mission

- American Red Cross

  - The American Red Cross prevents and alleviates human suffering in the face of emergencies by mobilizing the power of volunteers and the generosity of donors.

- Red Cross

  - The International Committee of the Red Cross is an impartial, neutral and independent organization whose exclusively humanitarian mission is to protect the lives and dignity of victims of armed conflict and other situations of violence and to provide them with assistance. The ICRC also endeavours to prevent suffering by promoting and strengthening humanitarian law and universal humanitarian principles.

Values

- McDonald’s stated values are:

  - Serve: We put our customers and people first
  - Inclusion: We open our doors to everyone
  - Integrity: We do the right thing
  - Community: We are good neighbors
  - Family: We get better together

Discussion 1-6

Why are ineffectively developed vision, mission, and values statements problematic for a firm? Why do you feel management should pay attention to these statements?

Discussion Activity 1-6 Debrief

Why are ineffectively developed vision, mission, and values statements problematic for a firm? Why do you feel management should pay attention to these statements?

- Ineffectively developed vision, mission, and values statements fail to provide the direction a firm needs to take appropriate strategic actions.
- This is undesirable in that a firm's vision, mission, and values are critical aspects of the *analysis* and the foundation required to engage in *strategic actions* that help to achieve strategic competitiveness and earn above-average returns.

1-7

Strategic Leaders

1-8

The Strategic Management Process

The Strategic Management Process (1 of 3)

- The strategic management process is a rational approach firms use to achieve strategic competitiveness and earn above-average returns.

The Strategic Management Process (2 of 3)

- **Competitor analysis** focuses on each company against which a firm competes directly.
- In a competitor analysis, the firm seeks to understand the following:
  - What drives the competitor, as shown by its *future objectives*.
  - What the competitor is doing, as revealed by its *current strategy*.
  - What the competitor believes about the industry, as shown by its *assumptions*.
  - What the competitor's capabilities are, as shown by its *strengths* and *weaknesses*.
- Knowledge about these four dimensions helps the firm prepare an anticipated response profile for each competitor.

The Strategic Management Process (3 of 3)

- **A-S-P process**:Strategic Management Process
  - The *analyses* (A) firms use to develop strategies.
  - The firm's analyses provide inputs that are the foundation for choosing one or more *strategies* (S) and deciding which one(s) to implement.
  - The strategic management process calls for disciplined approaches to serve as the foundation for developing a competitive advantage.
  - The process has a major effect on the *performance* (P) of the firm.
- Mastery of this strategic management process contributes positively to a firm's efforts to achieve strategic competitiveness and, in doing so, to create value for its stakeholders.

Summary

- Firms use the strategic management process to achieve strategic competitiveness and earn above-average returns. Firms analyze the external environment and their internal organization, then formulate and implement a strategy to achieve a desired level of performance (A-S-P).
- Firms achieve strategic competitiveness by developing and implementing a value-creating strategy.

Summary

- The core assumption of the I/O model is that the firm's external environment has a larger influence on the choice of strategies than does its internal resources, capabilities, and core competencies.
- Firms use the I/O model to understand the effects an industry's characteristics can have on them when selecting a strategy or strategies to use to compete against rivals.
- The logic supporting the I/O model suggests that firms earn above-average returns by locating an attractive industry or part of an attractive industry and then successfully implementing the strategy dictated by that industry's characteristics.

Summary

- The core assumption of the resource-based model is that the firm's unique resources, capabilities, and core competencies have more of an influence on selecting and using strategies than does the firm's external environment. When firms use their valuable, rare, costly-to-imitate, and non-substitutable resources and capabilities effectively, when competing against rivals in one or more industries, they earn above-average returns.

Summary

- The stakeholder model focuses on the nature of relationships between the firm and its stakeholders. Excellent relationships based on principles associated with organizational justice (fairness) result in a high level of reciprocity from stakeholders and a number of other positive outcomes that result in the firm creating more value for stakeholders, thus producing above-average returns.

True/False Questions

- When Delta Air Lines wants to study United Airlines, it must examine both United and its complementor, Star Alliance.

See you next week!